ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 1 - FAIR VALUATION

Welcome back folks, this is ICT with the sixth installment of the eight teachings of September 2016 ICT mentorship. We're going to be specifically dealing with Fair valuation in this teaching. Fair valuation comes in the form of two perspectives:

- Fair value in regards to equal distance of a higher low, or what we would call equilibrium.

- Fair value from the perspective of market makers.

We're going to combine both to give you the perspective you must have when you look at price. This is actually a chart we mapped out in advance, talking about very specific things. On September 24th, 2016, we called Australian dollar higher based on the things I'm going to cover here, aiming for 7665 as a weekly objective, which the market did in fact hit.

There's a lot of overlap from what we just covered in the previous two sessions: equilibrium to discount and equilibrium to premium. Obviously, if you're a buyer, you want to be buying in a discount market. That means trading in a lower third of the current trading range that the market has presently or currently created in its most recent impulse leg or impulse price swing. Sells are best taken in the most current trading range or impulse price swing upper third portion of that range. That's a premium market; we're selling at a premium. When the market returns back to an area of fair value, that is a fair value for the market maker to either sell or buy. In this case, we're going to cover again both concepts in regards to equilibrium and the fair valuation for market maker participation in price action.

This swing here, just making this high here, the market broke down and it quickly ran away. This is what we call a liquidity void, where the market makes a sudden movement lower. It's large ranges, very little wicks, very quick movement – that is a void. That means the price spent very little time trading at these price levels and it was in a hurry to get down to this area here where it started trading more efficiently back and forth from both sides of the candle and ultimately having a retracement. This range in here, as soon as we see pockets of price action where there's sudden movement lower, just like we saw a quick sudden movement lower here, this up candle at the bottom of that, that's where we start watching and measuring fair value. And the down candle here, the very next candle is an up candle, so we start looking at the range between this up candle and this up candle. Between those two up candles, there's what's referred to as a fair value Gap.

The reason why this is important is because there was no up candle or up movement between the break of that low and the high of this candle here; it was all just straight down movement, so nothing filled in in this area. Once price broke this low, it left it open, basically it's like a gap. The same thing occurs here: when this up candle is broken here on this candle, once it started breaking lower, there's a gap between this candle's low and this candle body or wick. I define it by the body; I like to use the range in which it causes this void. When price is below that, this is going to be fair value. The market's going to want to come back to that because there was very little trading in there, just like we said, there was a gap because there was no movement up in this area here between this up candle's low and this up candle's high. This area in price action only saw down movement; didn't have any up candle movement, only down movement. All this down here is down candle price action only, big range, so this is a liquidity void. The fact that it creates it in big ranges and speed, that's what defines it. Now, because price moves so quickly in these areas, fair value is established because there's going to be a willingness to want to see price trade back up into these levels in here and close in all this. In other words, there's going to be up movement later on. It won't happen immediately always; sometimes it takes a little bit of time, sometimes depending upon the time frame you're looking at, it may take a great deal of time. But when price starts to move high, we know that it will try to trade into this range here and fill that in at a later time. That is where market makers view fair value.

EQUILIBRIUM: FAIR VALUE AS EQUAL DISTANCE

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Now equilibrium or fair value in regards to equal distant range between high and low of a defined high and low range, that being if we have this low here and this high here. If we define that with Fibonacci, we have equilibrium right here, or 50% of that range. From this high to this low, there's equilibrium. Look how the bodies of the candle stay above that, but we have a lot of work around that equilibrium price point. That in itself is significant because it's showing you that the market ran through a short-term high. Once it ran through it, it came back down right back to the middle of the range or fair value, which is equilibrium. At this moment, price could stay in this consolidation for a period of time of any length; we don't know how long price is going to stay in a consolidation.

At equilibrium, you need to refer to where the most recent price swing took place. In other words, if we're at equilibrium here or at fair value, the market can go either way at this price level. The easiest way to determine where its most probable direction is, is where did market structure break most recently? Did it break a swing high or did it break a swing low most recently? Well, there's no swing low in here of any significance, but there is a swing high up here that it broke through here. So when we made this low, price ran through it, clearing out these highs right on this up candle. Price came back down into equilibrium. Do we define the range from here to here? As you're looking at price, you always want to get a feel for where you're at in regards to the most current trading range. Also notice that we are in the lower portion of the range defined by this high and this low, so we're in a real low area where it would be deemed oversold. So we have a range concept blending with the fact that we're moving back in the middle of a smaller consolidated trading range with a market structure break of a recent high in here. It broke that high and it came back to equilibrium. So the highest probability in terms of direction is going to be going short or going long? Well, obviously it's going to be going long.

The mechanics behind it were the fact that we broke this swing high. We have this void in here. We had weakness in the dollar, which we're not going to talk so much about correlation between dollar based analysis, but we're only specifically dealing with price action alone here. But what led to this bullish move in the Aussie dollar this week was the fact that we moved back into a fair value or equilibrium, so that way it's fair value for the market makers to build in long positions or build a net long book; that means they're accumulating long positions. The down candle right before this move up through a short-term high, that is a bullish order block. So price comes down into that, hits it at the same time it's hitting at equilibrium and it's deemed fair value. It's fair value because the market traded back down into an area where it wants to be bought again and where it should be expected to see buying pressure come in. We don't want to buy it up here because we've already broke a swing high. What are we doing up there? We would be buying at a premium, that's not what you want to do.

So you're going to blend a couple things when you're looking for high probability setups to get fair valuation. You're going to be looking at the current range from high to low. In this area right here, we're in the lower end of that range, so we have a lot more upside to build in a premium like we just discussed in the previous tutorial. The market will go to a premium. The market's buying at a discount. And it's at equilibrium, it's at Fair valuation because we're in the low end of the range from this high to this low, and we have all of this open price action right in here, so the market's going to want to come up there and close that in. It doesn't have to come all the way back up to this candle's low, which is a bearish order block. This up candle right before the down move, all this is needed to give us a directional bias. We have a swing high in here where we know what's going to be resting above that: buy stops.

So we know that there is a strong likelihood that because we're in the low end of the total range, which is this low to this high (so this is the parent price, this high to this low), we created a short-term low that was higher. We broke through a swing high, came back down into equal distance of the high to the low, that is equilibrium. We're now at fair valuation for what? For longs. The market makers can build a net long book at this price level. Now if they're going to do that, they're going to look for fair value above the marketplace where they can do what? Sell their positions at a fair value for them up here. If traders are buying this, chasing price, are they buying at a fair value? No, they're buying at a premium.

Remember that we just discussed in regards to equilibrium to premium. The range from this high to this low, we're above 50% level, and here we're in that upper portion of the optimal trade entry or 62 to 79% retracement level. I'll show you what that looks like: the low to the high, 79% retracement level, 70.5, 62% retracement level. So the market goes right up into 79% retracement, so we're in premium here. We're below equilibrium here, so we're at a discount down here relative to the range down here, we're at discount. In terms of looking at the low to high, this is where the premium's built in. If we reverse it and look at the range in opposite terms, defining it from low to high, we're below the 79% retracement level, so we're really at a deep discount, really, really deep discount because we're below equilibrium relative to the Range High and the low. We're even below the 79% retracement level here, so in terms of really being suppressed in terms of the total range high to low, we are at a deep discount.

In the middle of a current small little trading range from this high to this low, so we're at equal distance price measurement of high, middle, low, into total end or lower one-third of the range of the parent price swing that we see here right in here. Even if you didn't see this high to low as the parent price swing, this price swing high to low still gives you the same context just in a smaller scale. So you have high to low, we're in a lower one-third here, and we're in deep discount. Here's equal distance or equilibrium, we're below it, so we're at discount. So fair valuation for the market makers to build a book long would be so many overlapping factors there. They could be building long positions or accumulating long positions here, looking for what? Liquidity above the marketplace that means where above these highs that initially it just sold off of.

Then you have the buy stops above here, so the market runs through that, takes those stops, runs through this short-term high here, and then what does it do? Goes into consolidation. Now, if it's a turtle soup and it wants to go lower after blowing out buy stops, it should go lower quickly. It doesn't do that; it's staying in a sideways consolidation. In fact, during this week I actually gave live sessions explaining how this market was pointing to higher prices. It went back into consolidation, which means it's going back into what? It's building equilibrium. So equilibrium is building again in that small little range. So you define the high and the low right there, and look how much price action spends around the middle point at equilibrium price point. So it's hanging around fair value. One spike move lower doesn't see price go lower any significance, doesn't break the range and it expands to the upside. Once it expands to the upside, it starts filling in all of this again. This is another area of fair value. The market's fair for those long positions for the market maker that have already accumulated longs on it; this is a good area in this shaded area.

All of this is a good place for them to sell the longs that they started accumulating down here. Look how much time they whip back and forth in that range, all these wicks, they're selling. They're selling all the positions they accumulated here, accumulated here and down here on the initial rundown into the support. Once this range has closed in, the next area of concern is above this short-term high. So I have our void filled in right here, it's filled in, so this is no longer an area of interest, no, no more. Now we still look for higher prices. Why would we still look for higher prices? Because they went long here. So if they're going to look to sell their position, where would they look to sell their positions? At discount prices or premium? Premium. But the premium price that speculators would trade at by buying and chasing price, it's a premium to price chasers, people that feed off the desire of being in a price move that's already been moving higher. It's fair value to the market maker to liquidate their positions at this small little pocket between this low, this up candle's low, and this up candle's high. So we can now create a new specific area of fair value for the market maker to liquidate their long positions in here.

So drawing that out in time, that's what you see here. Price coming right into the bottom of that candle, hits it perfectly to the pip. Bodies of the candle are still deep inside the shaded area for fair valuation. What makes it fair is because they bought it at a deep discount and they're liquidating at a premium. It's fair for them to accumulate here and it's fair for them to liquidate. Market makers have to deal in terms of valuation for their longs and their shorts, and they have to do that same valuation for their exits on both sides of the marketplace. So when we see inefficiency in price like we see here with these candles just only going down, no up movement in it, only going down here, no up movement in it until later on, all of this area they're scaling out their positions that they accumulated down here, here and here. When price moves in defined trading ranges, there's going to be equilibrium. Equilibrium is in itself fair value; that means the market makers are holding in a consolidation.

When that consolidation gives way, the strongest move out of that consolidation on a hard time frame chart will give you a great deal of prognostication for directional bias. So what I mean by that is if we look at price, let's take a look at it like this, we can look at price like from this high down to this low, so we have a range defined there. The market's in this range here, consolidates, it goes right back to equilibrium, hangs around equilibrium, dips down below equilibrium. So even if we're monitoring this range from this high to this low, we're below the equilibrium price point. So are we at a premium right here or are we at a discount? We're at a discount. Traders on the retail level, they're going to see this as a selling point. They're going to want to get short because they're going to see this high to this low coming up to 62% retracement level. I said in the last two sessions, it's not enough. Simply looking at Fibonacci you can get tripped up in Fibonacci if you don't understand what price is actually telling you. So getting short here is not what you want to do even though you've seen price movement going lower, it's only coming down to an area of fair value for the market makers to accumulate longs in an area of discount.

So you're having an overlap of three things: you're looking that total range from this high to this low or this high to this low. We're in the lower portion or one-third of the range so we're in high probability for a discount market to be in effect. You're also below the equal price point or equilibrium between the low to this high. So it's consolidating near that but it now it went below it again. So we are in an area where the market makers can buy, especially if you combine that with areas of institutional order flow. So if you're looking to buy, what would you be looking for? An area to run out below the stops, in other words sell stops below an old low. We don't see so much of that happening here, it doesn't need to do that. It's only returning down to this down candle, which is a bullish order block. A down candle before the market moves higher, that's where market support really relies in. Up candles before the market drops down, that up candle is exactly where resistance is in institutional basis, so that's where selling occurs. So when we see price action like this, we can define things in terms of fair value in relationship to how the market maker is going to perceive price, the way they value price in terms of the current range that it's trading in, the same way the algo delivers price.

Where are we at in proximity to the current total range? We have a nice impulsive price swing high to low here. We are in the lower portion of that range here. We have built-in buy stops above this high, above this high here, above this high here, and we have a valuation gap, a fair value Gap. The market's going to want to come back up there because it spent very little time in this area, it was all down movement, all down movement, no buying was actually occurring in here, no buying was occurring in here; it was all on the sell side, one way flows. So the market ran up into just to close in where only selling took place and no real buyers. So now when price comes back up to that level and they shoot it up there like that, that's going to make a run on stops above the swing high and it's going to close in the range between this up candle and this up candle here, which is a fair value Gap. So when we're looking at price action, it's a couple things you need to keep in consideration:

- The total range you're trading in.

- The equilibrium price point relative to the most recent trading range high and low.

We defined several of them here: we did this high to this low, with this high and this low, and this high and this low. So we have multiple things lining up with the fact that for fair value sake, the market is a deep discount here and it's most likely going to trade higher. And we have reference points that we can look for where the market makers should aim, but ultimately this is the fair value Gap that they wanted to get back up into. And the reason why the basis was of me calling 7665 for the week was I want to be just below where I ultimately think it's going to go. And the level at which if we look at the high, the low comes in at 7675 and I want to be about 10 pips or so before the actual level I think is actually going to be hit. I want to be getting out just a little bit before that. One more instance of the things I talk about before it happens in the charts and why those things actually materialized in price action.

So price returns back to fair value, fair value in the perspective of the market maker, not fair value in the scope of buying it. This is at a premium. Remember that market efficiency paradigm I started you all with: how you perceive the marketplace is not how retail is going to see price. They're going to see this as the market's going to probably keep going up because it's been going up. Well this is an area of distribution. You want to be thinking accumulation down here, re-accumulation, distribution, scaling out all through these areas in here because you don't know if it's only going to come up that little bit of that range over here in the shaded liquidity void. You don't know if it's going to fill in that and then go lower. So when you buy things down in here, a deep discount, you have to scale some of it out. But the beginning basis points of valuation in terms of the market makers, you have to look at the total range. Look at where the market has moved away from quickly and those areas of liquidity voids and liquidity pools above old highs here and here and here. That is going to be fair value for the market maker to distribute long positions.

If we were looking at a sell position or short position, we would be looking for areas in which where the market in the past has moved up a great deal with speed, and we would be looking for lows where stops would be building up below it, or liquidity pools in the form of sell stops. We would look for the lower end of the most recent range for valuation so that way you would know by looking at things with that market efficiency paradigm, you're not looking at things like retail, you're looking at it in the scope of, okay, I am the bank, I'm making a book here. Where's the most efficient price levels for me to unload my longs or unload my short positions? We've already mentioned it so far in the teachings just for September. The easiest way to understand institutional order flow from the beginning starting point of it all is understanding that markets move from buy stops and sell stops and sell stops to buy stops. And it moves from fair value to discount, to discount to premium, to premium to fair value. It moves back and forth between these three reference points:

- Are we at a discount?

- Are we at a premium?

- Are we at fair value?

All those things combined together, they give you the clues as to what we're seeing in terms of the market maker's action: are they accumulating, are they manipulating, are they distributing? All those factors, we're going to be bringing those closely knit ideas into a more easily understood premise when we look at price. We'll be able to see these things unfolding in advance and you'll be able to see what should take place.

It's very encouraging to see your study and these individual components start to flesh out and have a greater understanding about price action. So in closing, fair value is not fair value in the realm of retail. It's in the realm of fair value of liquidating or accumulating from the market makers perspective.

- Fair value in discount is fair value for buys for market maker buying.

- Fair value in premium is fair value for market maker selling, either establishing new shorts or exiting or scaling out long positions.

Discount below equilibrium in the lower ends of the range, that's a discount market. That's an area at which the market makers can buy or look to cover their short positions. Do not look at the marketplace in this retail mindset that we're all trained to do. We drink from the same regurgitated stuff, but it's wrong to understand how these markets are delivered to us in the form of price action. When this price is delivered to us, it's not random; it's very specific of where it wants to go, why it wants to get there. That's what we're giving you in this mentorship. It's very specific detailed perspectives that are generic, they repeat themselves over and over again.

Because they repeat themselves and because they're the same phenomenon that take place almost on a daily basis, there's nothing for you to fear if you mess it up and you don't get the trade to pan out right or if you miss a move. Do not worry about it, wait for the market to give you indications of where fair valuation is, then you'll be able to anticipate the market maker's next scale in or scale out. It may be the liquidation of a long position that's been underway that may give you prognostication for a future move. It may be the inception of a new price leg while you're waiting for this area to be re-traded to. We'll build on this idea for now, but I want you to think in terms of where we are at relative to the most current range:

- Are we in the lower end?

- Are we near the low of that current range?

- Are we working around an equal distant equilibrium price point between a recent high and low?

By defining price in current trading ranges like this, you'll be able to see where the market makers will expand the price. So when there's expansion, you know prior to that expansion there's been what? It's consolidation. So as you study more examples of when markets are in consolidation, you'll be able to forecast the next movement out of the consolidation. We don't break, we don't play the breakout game; we anticipate the breakout. We know that the indications through price action will give us clues as to what side of the marketplace it's going to break out. And when we get into commodities, we have actually a great advantage of that by using open interest, but for Forex you don't need it so much, you can still see it in institutional order flow.

I'm going to close this teaching here with the promise that we're going to come back at the end of this series of eight sessions. In your notes that will accompany your month's summary, you'll have great detail of specific notes and things that you need to be aware of as it relates to fair valuation:

- Liquidity pools.

- Voids.

- Liquidity gaps.

All those things, we'll be building more foundation on that. And in month two, we'll actually go to how to define these things, not just giving you one chart's perspective and basically trying to teach the whole thing in one chart, it can't be done. So you need examples of it, you need to see it called for in advance like we did this week, not so much why into this great detail, but I gave you the areas of which price should reach for. We talked about the area here, we talked about this void here, and obviously we don't even need to talk about the highs because we understand that that's where the buy stops are going to reside. So think in terms of fair value for the market maker. If they're going to go higher, where's a fair value for them to exit their longs? It's a fair value for them to do so. They do not want to liquidate their longs at a discount or on retracements going lower. You look for expansions on the upside. When they expand, when price expands, they should be reaching into an area of fair value for price to be liquidating smart money longs. That's the only reason why markets go up, that's the only reason why price is allowed to be delivered at higher prices: because the market makers, the banks, have books on their books that are net long and it's in their interest to see price higher. It doesn't matter how many of us buy, the price is going to be set by the bank and they're going to do things to line their own pockets and not yours. So it takes a perspective shift and it gets

back to that market efficiency paradigm I started you with in this mentorship, that you have to view things from the smart money's perspective, not what retail should be doing or what retail is doing. If you do that, you're going to miss the actual clarity that comes through looking at price action. Studying it through a contrarian perspective, saying okay, this is what the retail mind should be thinking now. And by contrasting that with what you see in the charts for fair value, liquidity gaps, liquidity voids, liquidity pools, all these things, the market's going to seek that liquidity and run against the less informed crowd's opinion. So with that, I'm going to close and wish you good luck and good trading.